or in part until and unless the lessee shall have made provision for the preservation of any mines or productive works or permanent improvements on the lands covered thereby. The surrender of all or part of a lease after the third year may be permitted in the discretion of the authorized officer and only if the conditions specified in this section have been satisfied. A surrender must be by a relinquishment filed, in triplicate, in the proper land office. A relinquishment upon its approval shall take effect as of the date it is filed.

§ 196.16 *Cancellation of lease.* If the lessee shall fail to comply with the provisions of the act, or of the general regulations promulgated and in force at the date of the lease, or at the effective date of any readjustment of the terms and conditions thereof under § 196.14, or make default in the performance or observance of any of the terms, covenants, and stipulations of the lease and such default shall continue for 30 days after service of written notice thereof by the lessor, then the lessor may institute appropriate proceedings in a court of competent jurisdiction for the forfeiture and cancellation of the lease as provided in section 31 of the act: *Provided*, That, as to any default occurring under a lease issued noncompetitively not corrected prior to the commencement of production, the authorized officer may cancel such lease without institution of such court proceedings. A waiver of any particular cause of forfeiture shall not prevent the cancellation and forfeiture of the lease for any other cause or forfeiture, or for the same cause occurring at any other time.

§ 196.17 *Use of silica, limestone or other rock.* Any lease to develop and extract phosphates, phosphate rock, and associated or related minerals under the provisions of the act shall provide that the lessee may use so much of any deposit of silica or limestone or other rock situated on any public lands embraced in the lease as may be utilized in the processing or refining of the leased deposits or deposits from other lands upon payments of such royalty as may be determined by the authorized officer, which royalty may be stated in the lease when issued, or, may be provided for by an attachment to the lease to be duly executed by the lessor and the lessee.

§ 196.18 *Use permits for additional lands.* (a) A lessee may be granted a right to use the surface of not exceeding 80 acres of unappropriated and unentered public land not included within the boundaries of a national forest as may be necessary for the proper extraction, treatment, or removal of the leased deposits. The annual charge for the use of such land will be not less than $1.00 per acre or fraction thereof.

(b) Applications for permits for such additional land shall be filed in the office specified in § 196.7. Such applications must set forth the specific reasons why the additional land is necessary to the lessee for the use named, describe the land desired in accordance with § 196.7 (d), and also set forth the reasons why the land is desirable and adapted to the uses named, either in point of location, topography, or otherwise, and that it is unoccupied and unappropriated. The application must also contain an agreement to pay the annual charge prescribed in the permit. Use permits will be issued on Form 4–1111 dated as of the first day of the month after its issuance unless the lessee requests that it be dated the first day of the month of issuance.

§ 196.19 *Claims initiated prior to February 25, 1920.* Section 37 of the act of February 25, 1920 (41 Stat. 451; 30 U. S. C. 193), provides that thereafter the deposits of phosphates described in the act may be disposed of only in the manner provided by the act, "except as to valid claims existent at date of passage of this act, and thereafter maintained in compliance with the laws under which initiated, which claims may be perfected under said laws, including discovery." Those claims initiated under the pre-existing law may go to patent which, at the date of the act, were valid mining locations, duly made and maintained as such on lands subject to such location at the date initiated.

§ 196.20 *Limitation on overriding royalties.* An overriding royalty interest shall not be created by assignment or otherwise exceeding one per cent of the gross value of the output at point of shipment to market or an overriding royalty interest which when added to any other overriding royalty interest exceeds that percentage, excepting that where an interest in the leasehold, or operating agreement is assigned, the assignor may retain an overriding royalty interest in excess of the above limitation if he shows to the satisfaction of the authorized officer that he has made substantial investments for improvements on the land covered by the assignment.

PART 197—OIL SHALE LEASES [1]

Sec.
197.1 Statutory authority.
197.2 Qualifications of applicants.
197.3 Lands and deposits to which applicable.
197.4 Form and contents of application.
197.5 Disposition of application.
197.6 Action on application.
197.7 Form of lease.
197.8 Preferred right to a lease.

AUTHORITY: §§ 197.1 to 197.8 issued under sec. 32, 41 Stat. 450; 30 U. S. C. 189.

CROSS REFERENCES: For Forest Service, land uses, see 36 CFR Part 251. For operating and safety regulations of the Geological Survey, see 30 CFR Part 231.

§ 197.1 *Statutory authority.* Section 21 of the act of Congress approved February 25, 1920 (41 Stat. 445; 30 U. S. C. 241), authorizes the Secretary of the Interior to lease any deposits of oil shale belonging to the United States, and the surface of such lands as may be necessary for the extraction and reduction of the minerals leased.

§ 197.2 *Qualifications of applicants.* Pursuant to section 1 of the act of February 25, 1920 (41 Stat. 437; 30 U. S. C. 181) leases may be made to (a) a citizen of the United States; (b) an association of such citizens; (c) a corporation organized under the laws of the United States, or of any State or Territory thereof; or (d) a municipality.

CROSS REFERENCE: For citizenship in public land cases, see Part 137 of this chapter.

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[1] Circ. 1220, June 9, 1930 (53 I. D. 127), contains the following instructions relative to oil shale withdrawal of Apr. 15, 1930, No. 5327:

"By E. O. 5327, Apr. 15, 1930, made under authority and pursuant to the provisions of the act of June 25, 1910 (36 Stat. 847), as amended by the act of August 24, 1912 (37 Stat. 497; 43 U. S. C. 142), and subject to valid existing rights, the deposits of oil shale and lands containing such deposits owned by the United States were temporarily withdrawn from lease for other disposal and reserved for the purposes of investigation, examination and classification.

"In order to identify for administrative purposes the known areas affected by the order, the Secretary has approved maps prepared by the Geological Survey designating the lands containing oil shale of recognized commercial importance, in Colorado, Wyoming, and Utah. Copy of the map showing the designations is transmitted herewith to the register of each district in which designations have been made.

"The oil shale deposits and the lands so designated, title to which is in the United States, are by the order withdrawn from lease, entry, selection or other form of disposal, and you will therefore reject all applications for such lands, except applications for patent under the mining laws for metalliferous mining claims, or applications under other public land laws which are based on claims to the lands initiated prior to the date of the withdrawal.

"Lands not designated on the map as oil shale, but which are in fact valuable for their oil shale deposits are also withdrawn by said order. Affirmative proof of the non-oil shale character of lands not designated on the maps as oil shale, other than the regular non-mineral affidavit, will not be required.

"However, if your records show any land not designated on the map to be in fact oil shale in character, you will reject any application therefor. Any entry, filing, or selection allowed for lands which are thereafter, and prior to patent, found to be valuable for oil shale, will be subject to cancellation by appropriate proceedings."

Circ. 1355, June 4, 1935 (55 I. D. 280), contains the following instructions relative to modification of oil shale withdrawal of Apr. 15, 1930, by E. O. 7038, May 13, 1935:

"By E. O. 7038, May 13, 1935, E. O. 5327, Apr. 15, 1930, withdrawing certain lands for purposes of investigation, examination, and classification, was modified to extent of authorizing the Secreary of the Interior to issue sodium permits and leases under the general leasing act of February 25, 1920 (41 Stat. 437), as amended by the act of December 11, 1928 (45 Stat. 1019; 30 U. S. C. 261, 262), for and of any of the lands withdrawn by said order.

"Circ. 1220, June 9, 1930 (53 L. D. 127), is accordingly modified to conform to the later Executive order and you are authorized to accept applications for sodium prospecting permits and leases for lands withdrawn under E. O. 5327, Apr. 15, 1930."

E. O. 5327, Apr. 15, 1930, was modified by E. O. 6016, Feb. 6, 1933, so as to authorize oil and gas leases for the withdrawn lands.

Since the issuance of the foregoing instructions, the title "register" has been changed to "manager." See item 1 of Note following table of contents of chapter. For elimination of the requirement of oaths in certain cases, see § 101.21 of chapter.